

A SNAPSHOT OF RAILWAYS-FOCUSED FIRMS

- > In the BT500 2023 list, the ranking of Rail Vikas Nigam Limited (RVNL) has jumped by 174 spots to 241
- > In contrast to other railway firms, the ranking of IRCTC has fallen by 14 ranks to 98 in 2023

Company Name	2023/2022 Rank	Average Market Cap*	Total Income	PAT	ROE (%)	TTM P/E Multiple
Indian Railway Catering and Tourism Corporation (IRCTC)	98/84	52,429 (-13.5)	3,662 (87.2)	1,006 (52.5)	46.3	53.32
Indian Railway Finance Corporation (IRFC)	115/166	46,129 (59.0)	23,933 (17.9)	6,337 (4.1)	14.7	16.56
Rail Vikas Nigam	241/415	19,476 (180.2)	21,278 (5.4)	1,421 (28.0)	20.8	23.54
Ircon International	437/552	6,966 (75.3)	11,190 (43.1)	765 (29.2)	15.5	17.83
Jupiter Wagons	495/959	5,686 (409.7)	2,073 (75.4)	121 (143.0)	16.2	57.54

NOTE DATA AS OF NOVEMBER 17, 2023; *FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E MULTIPLE AS OF NOVEMBER 1, 2023; AVG. MARKET CAP, TOTAL INCOME, AND PAT IN ₹ CRORE; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YOY; RESULTS ARE ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY

believes the country's railways sector is on a secular growth trajectory, driven by a cyclical upturn in spends on rolling stock as well as a greater thrust from the government on expanding the railway network in the country, which includes the construction of dedicated freight corridors, high speed rail, and regional rapid transit systems. For instance, the National Rail Plan (NRP) lays down the road map for capacity expansion of the railways network by 2030 to cater to the growth in passenger numbers and freight volume up to 2050. According to the NRP, freight demand is expected to soar to 6,366 million tonnes in 2026 and 15,583 million tonnes by 2051 from 4,709 million tonnes in 2019. On the other hand, 1.06 million wagons will be required by 2051, against the 280,000

in use in 2018. Estimates also peg total passenger demand to jump from 9,457 million tickets in 2021 to 12,214 million in 2031 and 19,469 million by 2051.

Further, Agrawal of SBI Securities says the next five to seven years are expected to be buoyant for the railways sector on the back of factors like electrification of railway tracks, upgrade of stations of the Indian Railways, passenger trains, and the use of green energy by the Indian Railways, among other aspects.

DISTANCE COVERED

While the future looks bright for the companies operating in the sector, the past one year has also been robust. Sample this: IRCTC posted an 88.43 per cent year-on-year (YoY) rise in revenues at ₹3,541.47 crore in

FY23. The top line of other railway firms such as Jupiter Wagons, Ircon International, RVNL and IRFC also jumped by 107.71 per cent, 40.49 per cent, 4.64 per cent, and 3.46 per cent YoY in FY23, respectively.

Meena expects the sector to achieve a CAGR of 15 per cent in revenues from FY23 to FY26. "This expectation is rooted in a robust order book, a promising order pipeline, and the government's unwavering commitment to bolstering railway infrastructure," he says. As a result, there is potential for revenue growth to exceed initial assumptions of 10 per cent growth in FY24, he adds.

In short, the track ahead appears promising for Indian railway firms. **BT**

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